1. DOING BUSINESS IN GERMANY

Determinants of Location Decisions

A. Political, legal, social

1. Legal security & political stability
2. Constitutional base of economy and property
3. Bureaucracy
4. Environmental regulations
5. Labour regulations
6. Taxation & Levies
7. Subsidies

B. Market conditions (Germany in EU)

1. Market volume
2. Market competition
3. Trade restrictions

C. Operating conditions

1. Infrastructure
   - Traffic
   - Data processing
   - Energy supply

2. Operation factors (availability, quality, cost)
   - Labour
   - Raw materials
   - Technology
   - Real estate

3. Quality of life

(Based on IFO Institute 2016)

In 2025, the best countries to start a business are those that combine low corporate tax rates, fast incorporation processes, strong legal protection, and favorable foreign ownership laws, with a stable economy and highly innovative business environment. Many of these countries also offer investor residency permits, startup visas, or digital company formation options, making it easier for entrepreneurs to both operate and relocate.
https://www.globalcitizensolutions.com/

HANNOVER MESSE

Challenges of doing business in Germany

International companies invested around 96 billion euros in Germany in 2025 – more than twice the previous year's figure and few countries are as tightly connected to the world economy, but doing business can still be a challenge for those unfamiliar with its legal and tax structures, which is why having local help is essential.

Germany is the biggest economy in Europe and the third largest in the world, built on research, innovation and its ability to attract foreign direct investment (FDI) from around the world. More than 40,000 foreign-controlled companies are doing business in the country, employing more than three million people, and almost one in four jobs are dependent on the export sector.

Starting a Business

The process of starting a business underlines the complex nature of doing business in Germany. Despite its global standing and modern outlook, the World Bank and International Finance Corporation (IFC) rank Germany in 106th in the world for ease of starting a business, largely down to the several procedures companies are required to navigate. Among other steps, businesses are required to liaise with the local chamber of industry and commerce, the local commercial register, the local office of business and standards and the professional association of the relevant trade.

Dealing with Construction Permits

Obtaining a building permit and approval of static calculation are the most lengthy procedures when dealing with construction permits, although obtaining a water connection and telephone line can also take some time.

Registering Property

The registration of property is another task that is laden with bureaucracy. Companies must obtain an extract from the Land Registry and notarise the transfer agreement before obtaining waiver of pre-emption rights with the municipality and paying transfer tax. This takes an average of 40 days to complete.

Getting Credit

Germany is home to a modern financial sector that operates within a strict legal environment. Getting credit is therefore a relatively streamlined process, although there is no collateral registry in operation.

Paying Taxes

Germany's fiscal system is notoriously difficult to navigate. Businesses have to contend with ninetax payments a year taking 207 hours of their time; social security contributions take 134 hours to deal with alone and corporate income tax and VAT payments can also be extremely time constraining. Altogether there are 14 different taxes which may be payable by businesses operating in Germany.

Trading Across Borders

Trading across borders is a relatively cheap endeavour, but it still requires four documents to be prepared when exporting and five when importing. It takes a week on average to both import and export goods.

Enforcing Contracts and Resolving Insolvency

Germany's modern legal system handles contracts and insolvency with relative efficiency. It takes 394 days to enforce a contract and 438 days to resolve insolvency.

Culture

Doing Business in Germany without adequate cross-cultural awareness is a risky proposition, and businesses should ensure they carry with them an appreciation of both the business landscape and the culture. Hierarchy is valued in Germany and there is often a plethora of procedures and policies which can slow things down, so having a bit of patience is crucial to the success of business negotiations.

Source: https://www.mondaq.com/germany/contracts-and-commercial-law/784222/top-10-challenges-of-doing-business-in-germany (2019, adapted and updated!)

Read and Rate:	**+ positive**	**- negative**	? **depends**

Focus Issues

A1&2. Political, legal, social

1.Legal security & political stability

2.Constitutional base of economy and property

> "In addition to enterprise and innovation the best elements of the German business model are democracy, tolerance, respect and social market economy". *Mercedes CEO Ola Källenius*

A3. Bureaucracy (frequently EU requirements)

Germany is the world champion of Bureaucracy (T. Satinsky, Publisher)

Detailed documentation obligations in various categories
-Finance & Taxes
-Personnel
-Workplace Safety
-Quality
-Contracts
-Data Protection & IT
-Environmental Protection
Documentations must be testified by a chartered surveyor

Bureaucracy compliance
Total number of regulations 2024: 97,000
Total burden of measures 2024 146 bn.€ (Source: Die Zeit)

Case Examples: Construction Issues
1.Opening of Stuttgart 21 railway station

Stuttgart 21:
1995 Start of planning
2010 Start of building with massive citizen protests – projected cost: €3bn
2019 Scheduled Opening
2026 Rescheduled Opening
2027 Rescheduled Opening
2029 Rescheduled Opening
– projected cost: above10bn

Berlin Airport:
2006 Start of building – projected cost: €2bn
2012 Scheduled Opening
2020 Opening – actual cost: €7bn

A6. Taxation & Levies

Corporation Tax Rates 2023

Germany:	29.9%
Japan:	29.9%
France:	25.8%
USA.	25.8 %
Spain:	25%
UK:	19%

(Source Statista 2025)

C1. Energy Supply

Industry price for 1 kwh (USD, 2024)

USA:	0.18	
F:	0.28	
Germany:	0.40	
EU:	0.25	
China	0.08	(Source: Wikipedia)

C1 . Traffic

Geographic Orientation

North:	..
	..
	..
NRW/West	..
	..
	..
South	..
	..
	..
East	..
	..
	..
Central	..
	..
	..

Kiel, Saarbrücken, Karlsruhe, Nürnberg, Münster, Bonn, Dresden, Kassel, Stuttgart, Mainz, Leipzig, Hannover, Emden, Mainz, Potsdam, Frankfurt

Special Budget to develop infrastructure
On March 18 2025 the Bundestag passed a law permitting to Government to borrow €500bn to modernize the German infrastructure. As this involved a change in the constitutional borrowing limits the Bundesrat had to agree as well. Many claims from various organisations wishing to benefit from this budget have been raised, making it clear that it is difficult to define precisely what the term ‚infrastructure' implies.

Motorways, bridges, rail. Welcome to the scrap republic of Germany!

Source:Thomas Sahin, Focus Online Thursday, 28.12.2023 (Revised)

Germany's infrastructure is facing major challenges. Defective government aeroplanes, blocked bridges - technical difficulties are slowing the country down in many areas. FOCUS online sheds light on the current situation and asked experts for possible solutions.

-1-:Overview

Germany is suffering from infrastructure problems. Blocked bridges, outdated rail systems, missing power lines or slow internet and dead spots in the mobile phone network. The bad news about Germany's infrastructure has been piling up in recent years. Much of it is dilapidated and is slowing down the country - and therefore our economy. A look at the individual areas shows: Nowhere are things really running smoothly. "In western Germany in particular, many infrastructures are very outdated," writes Thomas Puls, transport and infrastructure expert at the German Economic Institute (IW), in a scientific article. After the turn of the millennium, investment in infrastructure was ultimately cut back nationwide. "For around a decade and a half, Germany lived off the land, especially in the area of transport infrastructure. "In addition to defective government aeroplanes and "delays in operations" on the railways, infrastructure has become a major challenge for Germany. Puls cites three reasons for this:

1. lack of funds in public budgets
2. lengthy planning and authorisation procedures
3. lack of skilled labour

German planning and approval procedures are proving to be a particular obstacle, writes the expert. "They have largely mutated into a right to prevent construction." The situation is exacerbated by a pronounced shortage of skilled labour. "This ranges from planning and approval authorities to the construction industry and network operators," says Puls.

-2-. Roads

Motorways, bridges, railways, water: the infrastructure is particularly dilapidated here
Thilo Schaefer, Head of the IW's Digitalisation and Climate Change department, believes that two things are needed to ensure that we can continue to use our infrastructure effectively in the future and that it is up to the challenges: "More money and less bureaucracy"."All too often, things fail due to lengthy planning procedures, with individual projects taking almost ten years," the expert told FOCUS online. With regard to transport infrastructure, it is clear that more speed is needed. "The tasks are getting bigger rather than smaller."
According to the IW analysis, the reasons for the dilapidated roads and bridges in Germany are:

- the age of the existing transport infrastructure -
- a traffic volume that is far higher than the infrastructure is designed for
- neglected investments after the turn of the millennium

Thomas Puls also points out that significant parts of the existing network were built before reunification in 1990. More than 40 per cent of the federal roads were built before 1990.
The volume of traffic in Germany has therefore developed far more dynamically than the planners expected. What's more, in 1986 the maximum permissible weight for HGVs was increased to 40 tonnes. This was a disaster for German transport routes. According to the Federal Ministry of Transport, 4600 bridges are in need of renovation.
Numerous construction measures are the result. And roadworks lead to more traffic jams on the motorways.

-3-..Railways

"The German rail network has been neglected for decades"
The situation on the railways is similarly problematic. Many lines are heavily overloaded and in urgent need of modernisation. "The German rail network has been cut to the bone for decades," says IW expert Schaefer. That went well for many years, but Germany has long been running on wear and tear. This is not only being felt by rail travellers, but also by companies that transport goods by rail: "There is no longer much capacity, the rail network is basically running at full capacity," says Schaefer.
Long-distance trains operated by Deutsche Bahn (DB) have again been less punctual recently.

The solution: "We need interaction between the individual modes of transport," says Schaefer. A conflict between road, rail and waterway is a sure way to fail. Cooperation with European neighbours is also necessary. "Germany is not only geographically an important hub for Europe's citizens and companies. If only because of our export model, Germany must keep its infrastructure fit and well connected to neighbouring countries."

-4- Digital infrastructure deficiencies

"Particularly in light of the immensely increasing demands on broadband networks in the future, the further expansion of fibre optics plays a decisive role in strengthening the digital infrastructure in Germany," says Büchel. This is because most cable networks have already been upgraded. A European comparison also shows that Germanystill ranks low among the EU member states in terms of fibre optic coverage

Overall Infrastructure Score

1. Switzerland	**88.4**
4. Singapore	**77.1**
7. USA	**73.7**
20. Germany	**67.7**

https://worldpopulationreview.com/country-rankings/infrastructure-by-country

Germany suffers from a massive underfunding of its infrastructure. This is according to a recent analysis by the consulting firm strategy&, a subsidiary of the auditors PwC. According to the analysis, the infrastructure gap at federal, state and local level for the period 2025 to 2035 amounts to 982.1 billion euros. The experts came to this conclusion after analysing a number of investment plans and studies. A total of 1924.1 billion euros would need to be invested in the ten-year period, while only 942 billion euros have been financed. The consultants analysed the need for rail, road and water transport as well as digital infrastructure, energy networks, building and housing construction and military infrastructure. Source:
https://www.spiegel.de/wirtschaft/infrastrukturluecke-bund-laendern-und-kommunen-fehlt-knapp-eine-billion-euro

C3. Quality of Life Aspects (for expatriates)

1. Health care
2.
3.
4.
5.
6.
7.

Business Mentality

– German businesses are generally quite averse to risk, making the decision-making process slow. Expect every detail of your proposal will be carefully and thoroughly examined.

– Similarly, German businesses don't respond well to ambiguity and uncertainty. Business meetings follow a formal procedure. German managers work from precise and detailed agendas, which are usually followed rigorously. Meetings always aim for decisive outcomes and results, rather than providing a forum for open and general discussion.

– German business culture has a well-defined and strictly observed hierarchy, with clear responsibilities and distinctions between roles and departments. Professional rank and status in Germany is generally based on an individual's achievement and expertise, therefore academic titles and backgrounds are important. They show expertise and knowledge.

– In negotiations, Germans are usually direct and frank about what they want and they expect you to do the same.

– Always present all the facts as thoroughly as possible; be well informed. Try to avoid using hard selling techniques, glitzy advertising, illustrations or memorable slogans.

– Similarly, Germans will make presentations using a lot of facts and figures. During a meeting, stock up on coffee and be prepared to go through myriads of figures, graphs, tables, pie charts, etc.

Business meetings and meals

– The dress code in corporate business is formal, dark and conservative for both men and women. Dress codes in the IT sector are more casual.

– Punctuality in German business culture is sacred. Arriving 15 minutes late will be considered a very serious offence.

– The best time to schedule a business appointment is between 10:00 am and 1:00

– If you are attending a business meal, wait for the host to initiate most things

– drinking wine, eating and conversation. It is polite to wish everyone "Guten Appetit" before starting to eat.

– When drinking, you can toast with "Prost" or "Zum Wohl" and make sure to keep eye contact.

Source: https://www.todaytranslations.com/consultancy-services/business-culture-and-etiquette/doing-business-in-germany/ (2018, abridged!)

TASK: Identify two differences to the culture of your home country

1.

2.

KEYNOTE 1: A large investment location with a multitude of issues.

VOCAB 1	
-e Baugenehmigung	construction permit
-s Eigentum	property
-r Vertrag	contract
-e Pünktlichkeit	punctuality
-e Abfallentsorgung	garbage disposal
-r Blickkontakt	eye contact
-e Tagesordnung	agenda
-e Abteilung	department
-e Verhandlung	negotiation
-e Verabredung	appointment
-e Steuererklärung	tax decalaration
-e Körperschaftssteuer	corporation tax
-e Energieversorgung	energy supply
-r Durchschnitt	average
-r Verkehrsstau	traffic jam
-e Beeinträchtigung	negative impact